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Insolvency: effect on commercial transactions

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand the meaning(s) of 'insolvency'
- ✓ appreciate the commercial implications of insolvency
- ✓ identify some key general principles of insolvency law
- ✓ identify different procedures in insolvency law
- ✓ appreciate the impact of insolvency legislation on financing transactions and priority of creditors
- ✓ understand key common law insolvency rules that affect parties' pre-insolvency commercial transactions

1. INTRODUCTION

Insolvency (or 'bankruptcy', as our American friends call it; we'll generally stick with the term 'insolvency' in this chapter) is a pervasive issue in commercial law. Notionally, it signifies the process of terminating the existence of a commercial enterprise or business vehicle. Due to reforms in the early 2000s, insolvency could also signify a process of reforming/rehabilitating/rescuing financially distressed individuals or commercial entities such as companies. Those reforms were introduced into the Insolvency Act (IA) 1986 by the Enterprise Act (EA) 2002 with effect from 15 September 2003. Further changes were made recently by the Corporate Insolvency and Governance Act (CIGA) 2020. For the sake of convenience, and due to their prevalence in commercial life, we will take the insolvent party to be a company.

In the course of business, parties would enter a range of commercial relationships. For example, parties may have a security agreement in a commercial financing arrangement in order to mitigate the harsh reality of a debtor's default as well as to deal with the fact that a debtor's insolvency would, typically, cough up more losers than winners, since a defaulting debtor would often not have the means (financial resources or other hard assets) by which to repay all its creditors in full. Thus, when insolvency does occur, a question that exercises the grey cells of stakeholders in a commercial enterprise is this: *What is the effect of insolvency on their pre-insolvency entitlements*?

This chapter will discuss this question, first by highlighting certain inroads by the IA 1986 into loan agreements secured by a floating charge security, second by indicating some other statutory provisions that could be used to avoid commercial transactions, and lastly by

discussing the twin common law principles of *pari passu* and anti-deprivation, which have the potential, in insolvency, to make pre-insolvency commercial transactions void.

2. BASIC TERMINOLOGIES AND AIMS IN INSOLVENCY

2.1 Meaning of Insolvency

So what is insolvency law? This is the legal regime governing the **collective relationship** between a debtor and his/her/its creditors in the event of the debtor being unable to meet credit obligations. This book has already covered the value of debt or credit to businesses and their economic output. Students should, therefore, appreciate that a credit obligation may arise in different ways, including an outstanding financial obligation by way of loan as well as by way of goods or services supplied on credit terms. It is the use of credit – and the resulting consequences of credit default – that gives insolvency law its meaning. Put differently, insolvency law is primarily concerned with the treatment or rationalizing of creditors' interests. Insolvency law is largely based in legislation (for example, IA 1986 as amended as supported by the Insolvency (England and Wales) Rules (IR) 2016 amended). However, there are common law principles to consider; for example, *Belmont Park Investment Pty Ltd v. BNY Corporate Trustee Services Ltd* [2011] UKSC 38 (anti-deprivation rule).

The term **insolvency** in English commercial law can be applied to both corporate and personal debtors. The term **bankruptcy** is only applied to personal debtors in the English language, though many other legal systems use it as a synonym for 'insolvency'. Students should also note that 'insolvency' is both an **event** and **a suite of procedures**. By event, we mean that a legal person (company) or natural person is financially distressed in the sense that they do not have the means to honour their credit commitments. A useful indicator for the occurrence of such an event will be found in ss.122(1)(f), 123(1)(e) and 123(2) of the IA 1986 – **cash flow** and **balance sheet insolvency tests** discussed in *BNY Corporate Trustees v. Eurosail-UK 2007-3BL plc* [2013] UKSC 28, [2013] 1 WLR 1408. The cash flow insolvency test denotes that the debtor is unable to pay its debts as they fall due. The balance sheet insolvency test captures a debtor's inability to pay its debts if its assets are less than its liabilities, taking into account its contingent and prospective liabilities. By procedures, we mean the procedures under insolvency legislation for winding up/rescuing/restructuring a debtor and rationalizing the interests of its stakeholders in the event of insolvency. For companies, the procedures include liquidation, administrative receivership (subject to the modifications introduced by the EA 2002), Company Voluntary Arrangement (CVA) and administration (also streamlined by the EA 2002). We can add to these the new standalone moratorium procedure introduced by the CIGA 2020. Liquidation, also called 'winding up', is essentially a terminal procedure that will result in the dissolution of the company after the winding up of its affairs. Receivership will enable a creditor with security to recover their debts. The remaining procedures are used to rescue or rehabilitate a distressed debtor. Finally, the notion of **office-holder** is important. This, simply, is a licensed insolvency practitioner who is primarily responsible for managing the insolvency procedure. The title of the office-holder will depend

on the insolvency procedure; for example, a liquidator in liquidation, an administrator in administration, a receiver in receivership, a monitor in a moratorium and a supervisor in a CVA.

2.2 Some Basic Principles and Aims of Insolvency Law

We now turn to those ideals and objectives of insolvency legislation as are relevant to modern commercial transactions. A pithy point to note is that some of these principles are subject to exceptions, some of which are discussed in latter parts of this chapter (see discussions on avoidance of security under statute and avoidance of other commercial transactions at common law).

a. *Maximizing returns to creditors*: Our description of insolvency above suggests that a debtor is insolvent because they do not have sufficient assets or means to satisfy all their liabilities. Thus, the reality of insolvency is that there will be a paucity of assets and, therefore, all creditors will not be repaid at all or in full. Insolvency law is therefore concerned with maximizing repayment to creditors. It does so by enabling the office-holder to gather available assets, realize their monetary value, swell that value by utilizing any avoidance powers in insolvency legislation, and then distribute the resulting value to all creditors in accordance with their pre-insolvency entitlements and in a rateable manner.
b. *Providing for a fair and equitable ranking of creditor claims*: This point is also connected to the paucity of assets issue. Insolvency law heralds the principle that all creditors are *collectively* (not *equally*) entitled to the available assets of the debtor. Therefore, individual rights of enforcement are suspended in favour of a collective regime. However, this collective entitlement is based on an established hierarchy of claims in insolvency, which is based on a combination of pre-insolvency agreements, insolvency legislation, common law principles, property law and company law. A useful account of the hierarchy of priority of creditors in insolvency will be found in *Re Lehman Bros International (Europe) (in administration)* [2017] 2 WLR 1497 [17]. Subject to exceptions recognized in the hierarchy, as a general rule secured creditors (particularly fixed charge holders) are paid first, followed by expenses of the insolvency procedure, then preferential creditors, and lastly unsecured creditors. This notion of collectivity and the hierarchy of claims precludes a disorderly realization of claims, such as on a first come first serve basis, and promotes fairness.
c. *Rescue of troubled debtors*: This is proof of evolution of our insolvency regime. Historically, English insolvency law was draconian in a nature, with harsh penalties for a financially distressed debtor. For a company, the usual insolvency procedure was liquidation, which is a terminal procedure as the company is ultimately dissolved and will cease to exist. Since the IA 1986 (as severally amended), we now have procedures such as administration, CVA and the standalone moratorium, which give distressed entities a second chance by enabling the office-holder with powers to restructure or rehabilitate the ailing company. The rescue ideology is now, as they say, *de rigueur*, in modern insolvency regimes across the world.

d. *Policing mismanagement*: Sometimes the cause of financial mishap is incompetent or reckless management. This, of course, is dangerous to shareholders, creditors and the wider economy. Insolvency law is therefore concerned with deterring and punishing managers/directors/officers who have engaged in fraudulent and/wrongful conduct, leading to the debtor's insolvency. There are a range of statutory actions that may be pursued in this regard, including fraudulent trading (s.213 of the IA 1986), wrongful trading (s.214 of the IA 1986) and transactions defrauding creditors (s.423 of the IA 1986). The punishment for such misconduct includes a personal contribution to the assets of the company as well as disqualification from acting as a director for a period of time under the Company Directors Disqualification Act (CDDA)1986.

e. *Termination of directors' powers*: Once an insolvency procedure is initiated, it is the norm in many insolvency procedures (the exceptions being CVAs and standalone moratorium) for the power of directors to manage the company's business to cease, unless permitted by the office-holder. The office-holder steps into the shoes of the directors and acts on behalf of the insolvent company or debtor. As a general rule, English insolvency polity is management-displacing. The logic behind this is simple: you wouldn't want to leave drunks in charge of the pub, would you?

f. *Creation of a 'statutory trust'*: In order to effect an equitable distribution of the debtor's available assets among its creditors, an insolvent debtor is no longer the beneficial owner of the assets and holds them on trust for the purpose of effecting the insolvency scheme of distribution. It is a trust for statutory purposes, not for persons. See *Ayerst v. C & K (Construction) Ltd* [1976] AC 167, *per* Lord Diplock at 176–80.

g. *Status of pre-insolvency entitlements*: As a general rule, creditors' entitlements in insolvency will mirror their pre-insolvency position. Thus, a secured creditor with priority over unsecured creditors pre-insolvency should, generally, expect to be in a similar position in insolvency. However, on grounds of public policy, such pre-insolvency entitlement might be dislodged in insolvency in order to serve a utilitarian purpose, that is, improve the position of unsecured creditors, or in order to avoid unjust enrichment of one or certain creditors at the expense of the general body of creditors.

Students will find a fuller account of the principles of insolvency law in K Van Zwieten, *Goode on Principles of Corporate Insolvency Law* (5th edn, Sweet & Maxwell, London 2018), ch 3 or relevant portions of subsequent editions.

The hierarchy of creditor priority in insolvency is as follows:

(1) Fixed charge creditors.
(2) Expenses of the insolvency proceedings.
(3) Preferential creditors.
(4) Floating charge creditors.
(5) Unsecured provable debts.
(6) Statutory interest.
(7) Non-provable liabilities.

✓ **You should now know the meaning of insolvency. You should also be able to identify some procedures and principles in insolvency law**

3. INSOLVENCY: EFFECT ON SECURITY AND DISPOSITIONS

3.1 Floating Charge Inroads under the Insolvency Act 1986

As a student using this book, you should now be able to appreciate four things. First, that finance is critical to the survival of any commercial enterprise. Second, that many commercial entities use credit/debt as a source of finance. Third, that the use of credit may require the commercial entity to give security to the creditor. Fourth, that the floating charge is both a commercially convenient and a politically divisive security device.

Despite its ubiquitous use in financing transactions, the floating charge has been the subject of a number of legislative interventions that have a bearing on the priority of the floating charge holder in insolvency and, crucially, the ability of that holder to recoup the amount due to them by the insolvent party. The reasons for these inroads include the scope of the floating charge, particularly when it covers future assets and assets supplied by other parties, as well as the ability of the charge holder to appoint an administrative receiver who conducts the insolvency for their benefit rather than for the collective benefit of all creditors. A useful criticism would be seen in *Salomon v. Salomon* [1897] AC 22 at 53 per Lord Macnaghten. You should consider the criticisms and interventions in light of the fact that English commercial law is, at least historically, pro-secured creditor (even his Lordship acknowledged this point just a few lines before his scathing remark on the floating charge!), as well as the fact that the traditional purpose of security is to mitigate the risk of default by giving the secured creditor priority over other creditors/claimants in relation to the secured assets.

In summary, the inroads include:

a. Preferential priority for employees over floating charge claims: s.175 and para 99 Schedule B1 of the IA 1986;
b. Priority of insolvency expenses over floating charge claims: s.176ZA and para 99 Schedule B1 of the IA 1986;
c. Abolition of power to appoint an administrative receiver: s.72A of the IA 1986. Charge holder can however appoint an administrator: para 14 Schedule B1 of the IA 1986;
d. Prescribed part for unsecured creditors: s.176A of the IA 1986;
e. Avoidance of floating charges for past value: s.245 of the IA 1986; and
f. Void prohibitions in a floating charge instrument where they strengthen the chargee's rights or otherwise place restrictions due to the company obtaining a moratorium: s.A52 of the IA 1986.

Prior to these developments, a typical floating charge would, subject to the doctrines of registration and notice, rank only after fixed charges. Today, as you will already have seen in the ranking of creditors in section 2 of this chapter, the same charge would (without the power to appoint an administrative receiver but with the power to appoint an administrator) rank behind charges, insolvency expenses, preferential debts and the prescribed part fund. Further, within certain rescue procedures lie provisions which enable an administrator to dispose of or take action in relation to property subject to a floating charge as if the charge did not exist while subordinating the claims of the floating charge holder to debts or liabilities incurred by the office-holder – see s.A31 and para 70 Schedule B1 of the IA 1986.

3.2 Insolvency and Other Security Agreements or Dispositions

This is not to say that the floating charge security is the only affected financing instrument. Other financing mechanisms such as guarantees, fixed charges and even sales/assignments may be affected by other insolvency provisions. These include: (a) avoidance of property dispositions: s.127 of the IA 1986, *Re Grays Inn Construction* [1980] 1 WLR 711; (b) transactions at an undervalue: s.238 of the IA 1986; *Stanley v. TMK Finance* [2010] EWHC 3349 (Ch); and (c) voidable preferences: s.239 of the IA 1986, *Re MC Bacon Ltd* [1991] Ch 127.

Indeed, an insolvency office-holder can take advantage of any of the aforementioned tools to increase the pool of distributable assets in insolvency. In so doing, we are talking less about private opportunism and more about proactive strategies to maximize distributions to unsecured creditors. Moreover, active use of transactional avoidance tools does perform a policing function in commercial law in discouraging inappropriate behaviour by creating examples for the future. Within the area of corporate insolvency law, dedicated avoidance tools have existed for many years. Some of these mechanisms are based upon common law jurisprudence – such as the anti-deprivation principle, which was recently discussed at length by the Supreme Court in *Belmont* (see section 4 below). There are also highly specialized statutory mechanisms. These were substantially upgraded as a result of the recommendations of the Cork Committee's report, also known as 'The Cork Report' (Cmnd 8558, 1982).

The simplest of these devices is s.127 of the Insolvency Act 1986. This long-established provision means that any disposition of the company's property after the presentation of a winding up petition is void, unless the court agrees to validate it. 'Disposition' is a wide concept that encompasses payments and asset transfers, but the property disposed of must have been beneficially owned by the company in order for the provision to come into play. In *Re Oxford Pharmaceuticals Ltd* [2009] EWHC 1753 (Ch), Mark Cawson QC, sitting as a judge of the High Court, indicated that a breach of s.127 is likely to constitute misfeasance on the part of a company director. However, that point must be explicitly alleged – failure to do so will preclude a remedy under s.127 against a director unless the director was the beneficiary of the disposition.

A completely new provision introduced on the back of the Cork Report is s.238 of the Insolvency Act 1986. Section 238 has its attractions for any office-holder. Under this provision, any transaction at an undervalue entered into by an insolvent company within two years of the onset of insolvency can be set aside on application to the court. A transaction is

deemed to be at an undervalue if there is a significant differential in terms of consideration on both sides of the transaction. It is not necessary, for the most part, to examine the motives underpinning the transaction. Where the consideration provided is a payment that is susceptible to attack as a preference that is not good consideration. It should not be forgotten that even if there is *prima facie* a transaction at an undervalue, there is a saving provision in s.238(5) for good faith transactions which are reasonably deemed necessary for the carrying out of the company's business – on this see *Levy McCallum Ltd v. Allen* [2007] NICh 3. A s.238 application failed in *Stanley v. TMK Finance* [2010] EWHC 3349 (Ch). In *Re Kiss Cards Ltd* [2016] EWHC 2176 (Ch), the court upheld, in part, a claim under s.238 against a sole director's wife in respect of certain payments made by the company to an account jointly held by the director and the wife, who was the company's bookkeeper.

We now turn to voidable preference provision in s.239 of the IA 1986. The doctrine of unlawful preference has been with us since the days of Lord Mansfield. A statutory framework was grafted onto the underlying principle in the nineteenth century and that mechanism is now embodied in the IA 1986. That said, the common law is not completely redundant (for confirmation see the Privy Council advice in *Lewis v. Hyde* [1998] 1 WLR 94). An essential prerequisite is that there is a preference in fact – an intention (or 'desire') to prefer which in fact does not change the status of the parties concerned does not contravene s.239 (see Lewison J in *Re Hawkes Hill Publishing Ltd* [2007] BCC 937). Put pithily, a successful s.239 claim must establish (a) factual preference – factual improvement in the position of the creditor or guarantor/surety; and (b) a desire to prefer the creditor or guarantor/surety. Normally, a positive act on those controlling the company will be required to found a preference, but the legislation does refer to the company 'suffering' an act to be done. In *Re Parkside International Ltd* [2010] BCC 309, an attempt to argue that passivity on the part of the company could be sufficient for the giving of a preference failed, as the judge indicated that evidence did not indicate that the company had willingly allowed the matter complained of to happen. Section 239 can, indeed, be used to avoid any type of security – *Re Stealth Construction* [2011] EWHC 1305 (Ch).

In order to establish a desire to prefer, English law does not focus upon the effect of the transaction, but rather on the motivation behind it. Most successful cases involving the application of preference law feature the situation where the beneficiary of the preference is connected with the insolvent company. In such a scenario, the burden of proof switches to the person preferred to show that the transaction was not influenced by a desire to prefer. This reversal of the burden of proof often provides the foundation for a successful preference claim. Notwithstanding this, the presumption has on occasions been rebutted, as is evidenced by *Re Hawkes Hill Publishing Ltd (Supra)*.

In addition to these provisions which are specifically applicable to the corporate insolvency scenario, there is s.423 of the IA 1986 (transactions defrauding creditors) to note. This is useful to bear in mind as it is not restricted to insolvency situations and can be invoked by a range of parties, including 'victims'. Note that the term victim is widely defined: see *Fortress Value Recovery Fund v. Blue Skye etc* [2013] EWCA 14 (Comm). Some of the cases on this provision feature personal insolvency situations, but the principles that emerge from the judgments are of universal application. In *4Eng Ltd v. Harper* [2009] EWHC 2633 (Ch),

a number of significant points emerge from the judgment of Sales J. The most relevant for our study are that, once again, we are reminded that all that is required is that the debtor has as a substantial purpose the required desire mentioned in s.423, namely that the transaction was entered into with the object of putting assets beyond the reach of potential claimants or of otherwise prejudicing their interests. For a discussion of the requisite purpose under s.423, see *BTI 2014 LLC v. Sequana SA* [2016] EWHC 1686 (Ch); [2019] EWCA Civ 112.

In terms of remedies for breach of ss.238 and 239 there are a number of points to remember. The aim of insolvency law here is to restore the position to that which existed before the commercial transaction took place. We are not looking at the creation of windfalls. So, if these transactional avoidance tools are employed, any net returns must take account of fruits generated by successful exploitation of other recovery mechanisms (such as misfeasance). A remedy under s.241 of the IA 1986 will usually be ordered against the person who has received the asset or payment, but in principle it seems that the courts are prepared to accept the possibility of orders being granted against third parties. This possibility was accepted by Mark Cawson QC in *Re Oxford Pharmaceuticals Ltd (Supra)*, even though its application was rejected on the facts of the case. Generally, and subject to the broad restorative aim, discretion of the court is the order of the day. In extreme circumstances, that discretion might involve making no order, as Lewison pointed out in *Re Hawkes Hill Publishing Ltd (Supra)* where, in any case, the preference claim failed in substance.

Before leaving the question of transactional avoidance it is worth mentioning the issue of 'disclaimer of onerous property' by a liquidator pursuant to s.178 of the IA 1986. This is a very different form of avoidance because no attempt is being made to unwind an existing commercial contract; rather, its chief aim is to mitigate the cost of continuing to honour that commercial arrangement. The power to disclaim and the consequences of disclaimer were considered by the Court of Appeal in *Shaw v. Doleman* [2009] EWCA Civ 27. The key point to extract from this judgment is that although by disclaiming a liquidator can bring a primary contract to an end prematurely, that disclaimer will not invalidate any guarantee of the company's obligations given by a third party. The legal system here is therefore seeking to restrict the commercial disruption caused by disclaimer, as is apparent from the leading case of *Hindcastle Ltd v. Barbara Attenborough Associates Ltd* [1997] AC 70. Note that Scots law has no statutory equivalent – *Joint Liquidators of the Scottish Coal Co Ltd, Noters* [2013] CSIH 108. The power of disclaimer is very useful in disclaiming lease arrangements; students can easily do a search on big insolvencies such as Carillion's for more evidence on this point.

Insolvency legislation might disrupt the continued operation of commercial arrangements such as security, leases or other dispositions. Such disruption will unwind the commercial arrangement, recover some financial value that had been given away by the entity in that arrangement, and distribute the recoveries among the creditors of the insolvent entity.

You should now be able to identify some powers of office-holders under insolvency legislation that could affect the continuation of commercial agreements

4. INSOLVENCY AND THE TREATMENT OF CLAIMS: THE *PARI PASSU* AND ANTI-DEPRIVATION PRINCIPLES

We have already seen that insolvency law is chiefly concerned with marshalling the claims of creditors in an insolvency scenario. There are, however, certain principles that guide whether such a claim exists as a matter of law, despite the parties' commercial arrangements. For example, the mere fact that A ltd agrees to transfer to B its rights to use a software licence does not automatically give B such right if A ltd subsequently enters into insolvency. Thus, the question is: *who can claim, and in what amount, to have an interest in the assets of the insolvent*? Generally, secured creditors and those with valid quasi-security or trust-based interests will take priority in relation to collateral or those assets in which the company has no beneficial interest. This is a manifestation of the rule that the office-holder takes the company's assets as he finds them (that is, warts and all, or subject to encumbrances arising prior to the insolvency procedure). However, and as one of certain exceptions to this general rule, the common law has developed a principle to the effect that parties cannot 'contract out' of the provisions of the insolvency legislation. This rule against contracting out is manifested by two further principles: the *pari passu* principle and the *anti-deprivation* principle. See *Belmont (Supra)* at [1] per Lord Collins.

For our purposes, the question of whether *pari passu* and anti-deprivation are two distinct rules, or merely two sub-species of the same rule, is perhaps not important. However, what is clear is that the two rules appear to have different parameters, which may produce differing results in the same commercial arrangement. We shall commence this discussion by considering the *pari passu* principle and then move on to the anti-deprivation rule. It is, however, important to appreciate that, as the Supreme Court has acknowledged in *Belmont (Supra)*, there may be some overlap between their factual applications.

4.1 The *Pari Passu* Principle

KEY STATUTORY PROVISIONS
INSOLVENCY ACT 1986, SECTION 107

DISTRIBUTION OF COMPANY'S PROPERTY

Subject to the provisions of this Act as to preferential payments, the company's property in a voluntary winding up shall on the winding up be applied in satisfaction of the company's liabilities pari passu and, subject to that application, shall (unless the articles otherwise provide) be distributed among the members according to their rights and interests in the company.

The *pari passu* rule is a rule of distribution of an insolvent debtor's assets. *Pari passu* distribution was entrenched in statute during the reign of Henry VIII (Statute of Bankrupts, 1542) and has remained in legislation since. The *pari passu* principle effects a pro rata scheme of

distribution among a company's creditors. Thus, if X ltd has £10,000 worth of assets and £100,000 worth of liabilities, and so has 1/10 of assets sufficient to meet its liabilities, X ltd's creditors are paid 1/10 of what they are owed, as follows:

A is owed £40,000 and therefore is paid £4,000
B is owed £30,000 and therefore is paid £3,000
C is owed £20,000 and therefore is paid £2,000
D is owed £10,000 and therefore is paid £1,000

This principle is mandatory. Thus, the courts have consistently held that it is not open to parties to avoid the operation of *pari passu* by means of a contract. In *Re Jeavons, ex parte Mackay* (1873) 8 Ch App 643, Jeavons transferred patent rights to a company, which agreed to pay him royalties in return. At the same time the company lent Jeavons £12,500. It was agreed that the company should retain 50 per cent of the royalties becoming payable to Jeavons to discharge the debt. It was further agreed that, if Jeavons were to become bankrupt, the company's obligation to pay royalties would cease. It was held that 'a man is not allowed, by stipulation with a creditor, to provide for a different distribution of his effects in the event of bankruptcy from that which the law provides' (James LJ).

KEY CASE
***BRITISH EAGLE INTERNATIONAL AIRLINES LTD V. COMPAGNIE NATIONALE AIR FRANCE* [1975] 2 ALL ER 390**

British Eagle was part of a scheme devised among a number of airlines and operated through IATA (International Air Traffic Association). The airlines in question often carried passengers for each other, giving rise to claims and cross-claims between them all. Rather than go to the time and expense of paying each individual claim it was agreed that each time a claim arose IATA would be notified, and IATA would keep records of all claims. Then, on a monthly basis, the claims would be netted off, leaving a net balance due either to or from each airline. Thus each airline would either be obliged to pay a sum to IATA or entitled to receive a sum from IATA each month. British Eagle entered insolvent liquidation and at that time had carried passengers for Air France (thus giving rise to a claim). Its liquidator argued that the netting scheme was unenforceable because it had the effect of removing an asset (the claim against Air France) from the assets of British Eagle.

The court held that the arrangement between the airlines offended the *pari passu* rule. According to Lord Cross: '[W]hat Air France are saying here is that the parties to the "clearing house" arrangements by agreeing that simple contract debts are to be satisfied in a particular way have succeeded in "contracting out" of the provisions contained in [s.107 of the Insolvency Act 1986] for the payment of unsecured debts "pari passu". In such a context, it is to my mind irrelevant that the parties to the "clearing house" arrangements had good business reasons for entering into them and did not direct their minds to the question how the arrangements might be affected by the insolvency of one or more of the parties. Such "contracting out" must, to my mind, be contrary to public policy.'

You should now note a number of points about this rule. First, as we have already said, it mandatorily applies to the distribution of a debtor's assets in insolvency. Thus, an arrangement that infringes the distribution scheme might be valid until insolvency occurs. Second, the rule will only affect agreements that improve a creditor's position against the insolvent's estate since the rule is infringed by 'contracting out' of the statutory scheme of distribution. Thus, arrangements such as trusts or agreements to create a charge/security do not infringe the rule. Moreover, arrangements such as subordination agreements that subordinate a creditor's rights to those of other creditors do not infringe the rule since the creditor's position is not improved and, therefore, does not disturb the operation of the scheme of distribution: *Re Maxwell Communications Corp (No 2)* [1993] BCC 369. In other words, arrangements such as security, trust and subordination are some of the mechanisms available to by-pass this mandatory rule. A reading of the statutory provision above will also help you to appreciate that preferential creditors are exempted from this rule (as are insolvency expenses, deferred debts, debts eligible for set-off and post-insolvency executions).

Third, the contractual arrangement must relate to the position of a creditor. The type of creditor in consideration is the unsecured creditor, since secured creditors are not affected by the operation of the *pari passu* principle. The contractual arrangement must also have the effect of avoiding the *pari passu* rule of distribution. This effect is the provision of a different scheme of distribution (to that provided by statute) and/or improving a creditor's (or group of creditors') rights against the company's property. Thus a rent concession clause in a CVA does not infringe the rule where the CVA is terminated and the concession ceases, since the parties are simply restored to their original positions; it does not increase the landlord's claim in administration or liquidation. Fourth is that the rule will invalidate any transaction that has the *effect* (regardless of intention or commercial rationale) of avoiding the statutory scheme of distribution.

The *pari passu* principle is a rule of distribution and mandates a pro rata distribution of available assets among creditors in insolvency.

4.2 The Anti-Deprivation Principle

The anti-deprivation principle is a judge-made rule. It is a rule of preservation of the assets of an insolvent party. Therefore, students should appreciate that this rule is critical to the operation of the *pari passu* rule: there would be nothing for an office-holder to distribute *pari passu* if parties are allowed to reallocate the ownership or use of assets, willy-nilly, by contract simply because one of the parties has become insolvent or entered into an insolvency procedure.

The basic principle is that any contractual provision which deprives the insolvent of an asset will be void where the deprivation is triggered by insolvency. For example, in *Re Harrison, ex parte Jay* (1880) 14 Ch D 19, James LJ at p.25 stated that 'a simple stipulation that, upon a man's becoming bankrupt, that which was his property up to the date of the bankruptcy should go over to someone else and be taken away from his creditors, is void as

being a violation of the policy of the bankrupt law'. Put simply, since assets of an insolvent should collectively be used to satisfy all its creditors, the principle operates to ensure that those assets are not removed in favour of one party to the detriment of creditors as a group simply because insolvency has occurred.

That said, the anti-deprivation rule does not simply invalidate any commercial agreement that removes an asset on insolvency. You will recall that, as far as is possible, and provided there is no unjust enrichment, insolvency law tries to mirror parties' pre-insolvency position in an insolvency scenario. Thus, deprivation or removal of valueless assets may fall outside the scope of the anti-deprivation rule: *Money Markets International Stockbrokers Ltd (In Liquidation) v. London Stock Exchange Ltd* [2002] 1 WLR 1150. A forfeiture of a lease on insolvency does not contravene the rule since it merely qualifies the lessee's interest: *Whitmore v. Mason* 70 ER 1031. Indeed, a determinable interest in property has usually been held to be valid: *Brandon v. Robinson* (1811) 18 Ves Jun 429. An *ipso facto* clause which permits termination of an executory contract on insolvency of a party does not ordinarily offend the rule if the deprived right consists of consideration not yet performed by the insolvent party and there is no clear attempt to take an asset from the insolvent company's creditors: *Lomas v. JFB Firth Rixson Inc* [2010] EWHC 3372. However, such clauses may be invalid under insolvency legislation. The CIGA 2020 has extended the prohibition of *ipso facto* clauses in contracts for the supply of goods and services to any insolvency procedure: see, generally, ss.233, 233A and 233B of the Insolvency Act 1986.

We now turn to the critical case of *Belmont*, which provides some guidelines on the operation of the anti-deprivation rule.

KEY CASE
***BELMONT PARK INVESTMENT PTY LTD V. BNY CORPORATE TRUSTEE SERVICES LTD* [2011] UKSC 38**

Lehman Brothers had established a subsidiary, Lehman Brothers Special Financing Inc. (LBSF), which engaged in credit swap transactions. Belmont and other investors were invited to subscribe to 'notes', with a Special Purpose Vehicle (SPV) established to act as issuer of these notes. LBSF and the noteholders contracted with the SPV, rather than with each other. The funds provided by the noteholders were used to purchase collateral, and this was held by a trustee. The trust provided that the collateral could be used as security for the SPV's obligations to both the noteholders and LBSF, with LBSF taking priority over the collateral. LBSF's priority would be 'flipped' in favour of the noteholders on the occurrence of certain defined events of default, including the insolvency of LBSF or its parent. The insolvency of both Lehman companies triggered the flip clause, which in turn meant that the noteholders now took priority over the collateral. The argument was that the operation of the flip clause in this transaction was unenforceable as it contravened the anti-deprivation rule.

The Supreme Court rejected this argument and upheld the validity of the agreement. According to the Court, with the exception of well-established categories such as leases and licenses, the courts should have regard to the substance of the agreement in order to apply the rule to commercial agreements that intentionally or inevitably evaded the policy that the debtor's property is part of the insolvent estate for the benefit of its creditors.

Students should note the following points from the decision in *Belmont*:

a. While modern insolvency law included detailed provisions enacted against the background of the common law anti-deprivation rule, that rule was too well established to be wholly discarded.
b. The anti-deprivation rule potentially applied to any agreement which purported, on the insolvency of one party, to allocate to another party who was not a creditor of the insolvent party an asset in which the insolvent party had an interest (agreements having this effect between the insolvent party and a creditor might, however, breach the *pari passu* rule of distribution).
c. In determining whether the rule applied, the court should have regard to the substance of any given agreement to establish whether its purpose was to evade the application of insolvency law or, alternatively, it had a legitimate commercial purpose. Only agreements with the former purpose would contravene the anti-deprivation rule.
d. Party autonomy in commercial transactions dictated that the court should not disturb commercial agreements entered into in good faith unless there was a clear inference that the agreement in question was deliberately designed to evade provisions of insolvency law. This is particularly the case in the context of complex financial instruments such as those before the court in *Belmont*.
e. In deciding whether such an intention is present, the existence of an insolvency-triggered deprivation is relevant, but is not determinative.
f. The fact that the noteholders had effectively provided the funds for the collateral was not determinative (as it had been at both first instance and in the Court of Appeal). It was, however, significant in that it might assist in concluding that the transaction was a commercial one and entered into in good faith.

The anti-deprivation rule is not an effect-based rule like the *pari passu* rule. Further, while intention might be relevant to the operation of the anti-deprivation rule, intention is largely irrelevant to the operation of the *pari passu* rule, as seen in *British Eagle (Supra)*. In summary, the anti-deprivation rule will not invalidate commercially sensible transactions entered into in good faith and without any deliberate intention to evade insolvency legislation. Moreover, there might be a presumption of such good faith in complex commercial transactions. Students will find a useful critique of this decision in K Akintola, 'Pro-Commerce Outlooks: The Bane of English Corporate Insolvency Law?' (2021) 34 Insolvency Intelligence 6.

The anti-deprivation rule is a rule of preservation of assets and will invalidate a commercial agreement that deliberately evades insolvency law by removing an asset belonging to an insolvent party.

You should now understand (a) some provisions of the Insolvency Act 1986 that affect commercial agreements, and (b) some principles of insolvency law that could invalidate commercial agreements